## Points to remember

- There are established accounting principles available which are to be applied in the preparation of accounting records and financial statements.
- The Accounting Standards are designed to ensure uniformity in the accounting methods and practices.

## Self-examination questions

### I Multiple choice questions

**Choose the correct answer**

1. The business is liable to the proprietor of the business in respect of capital introduced by the person according to
   (a) Money measurement concept
   (b) Cost concept
   (c) Business entity concept
   (d) Dual aspect concept
2. The concept which assumes that a business will last indefinitely is
   (a) Business Entity
   (b) Going concern
   (c) Periodicity
   (d) Conservatism
3. GAAPs are:
   (a) Generally Accepted Accounting Policies
   (b) Generally Accepted Accounting Principles
   (c) Generally Accepted Accounting Provisions
   (d) None of these
4. The rule of stock valuation 'cost price or realisable value' whichever is lower is based on the accounting principle of:
   (a) Materiality
   (b) Money measurement
   (c) Conservatism
   (d) Accrual
5. In India, Accounting Standards are issued by
   (a) Reserve Bank of India
   (b) The Cost and Management Accountants of India
   (c) Supreme Court of India
   (d) The Institute of Chartered Accountants of India

**Answer**

| | | | | |
|---|---|---|---|---|
| 1 (c) | 2 (b) | 3 (b) | 4 (c) | 5 (d) |



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